



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Advanced Level

ACCOUNTING
PAPER 1 Multiple Choice

9197/1

NOVEMBER 2014 SESSION

1 hour 15 minutes

Additional materials:

Multiple Choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

TIME 1 hour 15 minutes

INSTRUCTIONS TO CANDIDATES

Do not open this booklet until you are told to do so.

Write your name, Centre number and candidate number on the answer sheet in the spaces provided unless this has already been done for you.

There are **forty** questions in this paper. Answer **all** questions. For each question there are four possible answers, **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in **soft pencil** on the separate answer sheet.

Read very carefully the instructions on the answer sheet.

INFORMATION FOR CANDIDATES

Each correct answer will score **one** mark. A mark will **not** be deducted for a wrong answer.

Any rough working should be done in this booklet.

Calculators may be used.

This question paper consists of 13 printed pages and 3 blank pages.

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- 1 Which of the following may be used to reinforce the financial position of a company?
- A asset revaluation reserve
 - B general reserve
 - C provisions for depreciation
 - D share premium
- 2 A machine bought on hire purchase is shown at cost in the books of the hire purchaser and the amount still owed as a liability.
- This is an example of
- A matching.
 - B materiality.
 - C prudence.
 - D substance over form.
- 3 When non-current (fixed) assets are shown in the statement of financial position (balance sheet) at cost less accumulated depreciation, this is in accordance to the concept of
- A consistency.
 - B going concern.
 - C matching.
 - D prudence.
- 4 The following information relates to subscriptions by members of a football club.

	1 July 2011	30 June 2012
	\$	\$
Subscriptions in arrears	6 300	6 600
Subscriptions in advance	3 000	4 100

Subscriptions received during the year amounted to \$90 000. Subscriptions in arrears amounting to \$1 000 were written off.

Which amount should be credited to the income and expenditure account for the year ended 30 June 2012?

- A \$88 200
- B \$89 200
- C \$90 200
- D \$91 800

- 5 A partnership ledger balances at 31 October were as follows:

	\$
Non-current (fixed) assets	64 000
Current assets	4 400
Trade payables (creditors)	3 200
Long-term loan	18 000
Current account – Kudzai	6 000
Current account – Kunashe	5 200

The partners kept separate capital accounts and Kudzai contributed twice as much capital as Kunashe.

What was Kudzai's capital?

- A \$12 000
- B \$18 000
- C \$24 000
- D \$36 000

- 6 John has not kept proper records for his business. Between 31 December 2011 and 31 December 2012, his net assets increased by \$20 000. On 1 January 2012, John revalued his plant and machinery from a net book value of \$40 000 to \$50 000. Drawings for the year ended 31 December were \$12 000.

What was the profit for the year ended 31 December 2012?

- A \$ 8 000
- B \$20 000
- C \$22 000
- D \$32 000

- 7 Abel and Ben were in partnership, sharing profits and losses equally. They admitted Chari into the partnership. The profit and loss sharing ratio changed to:

$$\text{Abel} \quad \frac{3}{6}$$

$$\text{Ben} \quad \frac{2}{6}$$

$$\text{Chari} \quad \frac{1}{6}$$

Chari paid in \$5 000 of which \$3 000 was for capital and the balance, his share of goodwill.

What was the balance on Chari's capital account after his admission?

- A \$7 000
- B \$5 000
- C \$3 000
- D \$2 000

- 8 Closing inventory (stock) has been overvalued.

What is the effect on the net current assets and net profit?

	net current assets	net profit
A	no effect	understated
B	overstated	overstated
C	understated	no effect
D	understated	understated

- 9 What is the purpose of providing for depreciation?

- A to apply the matching concept
- B to provide cash to replace assets when they are worn out
- C to show the assets in the statement of financial position (balance sheet) at their market values
- D to show when the assets need to be replaced

- 10 A partner withdraws goods for personal use.

What is the double entry?

	Debit	Credit
A	inventory (stock)	statement of comprehensive income (profit and loss account)
B	partner's current account	drawings account
C	purchases account	partner's current account
D	statement of comprehensive income (profit and loss account)	inventory (stock)

- 11 Discount allowed of \$50 has been credited to discount received account and returns outwards of \$200 have been debited to the trade payables (creditors) account as \$20. A suspense account is opened to complete the trial balance.

What is the balance on the suspense account?

- A \$120 credit
- B \$230 debit
- C \$280 credit
- D \$280 debit

- 12 If opening inventory (stock) was \$12 000, closing inventory \$20 000, mark-up 20%, and turnover (sales) during the period \$240 000, then the rate of stockturn was

- A 9,6 times.
- B 10 times.
- C 12 times.
- D 12,5 times.

- 13 A firm reported a net profit of \$300 000. Its accounts show a depreciation charge of \$130 000, profit of \$20 000 on sale of non-current (fixed) asset and a decrease of \$30 000 in the provision for bad debts.

The cash inflow from operating activities is

- A \$300 000.
- B \$380 000.
- C \$420 000.
- D \$440 000.

- 14 In a given year, a business sells inventory (stock) in cash for \$300 000 and on credit for \$1 220 000.

Trade receivables (debtors) pay every 33,5 days.

What is the closing trade receivables balance?

- A \$ 27 534
- B \$ 84 438
- C \$111 973
- D \$139 507

15 What is the calculation for capital employed?

- A current assets – current liabilities ✓
- B net assets – current liabilities ✓
- C non-current (fixed) assets + current assets – current liabilities ✓
- D non-current (fixed) assets + current assets + current liabilities

16 Which item should be included in the director's report of a limited company?

- A changes in inventory (stock) of finished goods
- B distribution costs
- C particulars of significant changes in non-current (fixed) assets
- D turnover

17 The profit before interest extracted from a company's statement of comprehensive income (profit and loss account) is \$133 000.

The table shows amounts included in the company's statement of financial position (balance sheet).

	\$
non-current (fixed) assets	316 000
current assets	236 000
current liabilities	156 000
12 $\frac{1}{2}$ % debentures	40 000

What is the return on total capital employed?

- A 23,19%
- B 24,09%
- C 33,59%
- D 42,09%

18 What is the correct treatment of non-purchased goodwill in the accounts of a company?

- A Do not include it in the statement of financial position (balance sheet).
- B Include it in the statement of financial position as an asset.
- C Include it in the statement of financial position as an asset to be amortised.
- D Write it off against reserves.

- 19 A company redeemed 80 000 \$1 redeemable preference shares at a premium of \$0.20 per share. The shares had been originally issued at par. The redemption was not financed by an issue of shares.

What is the effect on the statement of comprehensive income (profit and loss account) and the capital redemption reserve?

	statement of comprehensive income	capital redemption reserve
A	decrease \$80 000	increase \$80 000
B	decrease \$80 000	increase \$96 000
C	decrease \$96 000	increase \$80 000
D	decrease \$96 000	increase \$96 000

- 20 The table shows how a property appears in the statement of financial position (balance sheet).

	\$
plant and equipment at cost	130 000
accumulated depreciation	<u>60 000</u>
net book value	70 000

The plant and equipment is revalued to \$160 000.

What is the journal entry to record the revaluation?

	Dr \$	Cr \$
A	Plant and equipment Provision for depreciation Revaluation reserve	 30 000 60 000 90 000
B	Plant and equipment Revaluation reserve	 30 000 30 000
C	Plant and equipment Revaluation reserve	 90 000 90 000
D	Plant and equipment Statement of comprehensive income (profit and loss account)	 30 000 30 000

- 21 A company issues bonus shares.

What is the effect on its statement of financial position (balance sheet)?

- A The current assets will be increased.
- B The shareholders' funds will be increased.
- C The shareholders' funds will be reduced.
- D The reserves will be reduced.

- 22 A manufacturing company which started business in 2010 transfers finished goods from factory to warehouse at cost plus 10%. At 31 December, its inventory (stocks) of finished goods, valued at transfer prices, have been as follows:

2010	\$25 000
2011	\$30 000
2012	\$20 000

For the year ended 31 December 2012, what is the adjustment for unrealised profit in the statement of comprehensive income (profit and loss account)?

- A \$909 credit
- B \$909 debit
- C \$1 000 credit
- D \$1 000 debit

- 23 A company has a current ratio of 2 : 1 and a quick ratio of 1 : 1.

If the company receives payment from trade receivables (debtors), what is the effect on the two ratios?

	current ratio	quick ratio
A	decrease	decrease
B	increase	decrease
C	no change	increase
D	no change	no change

- 24 Interest receivable account shows cash received of \$20 000. Interest of \$2 000 was due at the start of the year and \$3 000 is due at the end of the year.

How will this be shown in the final statements at the end of the year?

	statement of comprehensive income (profit and loss account)	statement of financial position (balance sheet)
A	credit \$19 000	current liabilities \$3 000
B	credit \$21 000	current asset \$3 000
C	debit \$19 000	current asset \$3 000
D	debit \$21 000	current liability \$3 000

25

A bank account in the books of a sole trader shows a debit balance of \$2 717. The following have been noted:

- the total cash banked was overstated by \$900;
- a lodgement for \$7 785 had not been credited by the bank;
- cheque issued totalling \$25 311 had not been presented;
- a customer's cheque for \$464 was returned due to insufficient funds.

What is the balance as per bank statement?

- A \$18 879 credit
- B \$18 879 debit
- C \$19 807 credit
- D \$19 807 debit

26 The table shows non-current (fixed) assets for a company for 2011.

	1 January	31 December
	\$	\$
at cost	500 000	540 000
cumulative depreciation	230 000	252 000
net book value	270 000	288 000

During the year, non-current assets costing \$130 000 were bought and a non-current asset with a net book value of \$45 000 was sold.

The depreciation charge for the year is

- A \$18 000.
- B \$22 000.
- C \$40 000.
- D \$67 000.

22
18

27 A company with an issued share capital of 250 000 ordinary shares of \$1 each and 50 000 8% preference shares of \$1 each has the following profit and appropriation account:

	\$
operating profit	200 000
interest payable	15 000
taxation	57 000
preference dividend	4 000
ordinary dividend	50 000

The market price for each ordinary share is \$4,50.

What is the dividend yield?

- A 4%
- B 4,4%
- C 17,78%
- D 22,50%

- 28 The closing inventory (stock) for a company consists of four separate items as shown.

Inventory	cost	net realisable value
	\$	\$
1	15 000	6 000
2	10 000	15 000
3	12 000	18 000
4	<u>10 000</u>	<u>14 000</u>
	<u>47 000</u>	<u>53 000</u>

What is the value of closing inventory for inclusion in the final accounts?

- A \$38 000
 B \$47 000
 C \$53 000
 D \$62 000
- 29 A limited company purchases a business by issuing 400 000 ordinary shares of \$1,00 each at a premium of \$0,50 per share. A negative goodwill of \$100 000 arises on the purchase.

What is the fair value of the separable net assets?

- A \$300 000
 B \$500 000
 C \$600 000
 D \$700 000
- 30 A company's statement of financial position (balance sheet) appears as follows:

	\$		\$
Assets	1 000 000	Capital and reserves	700 000
		Current liabilities	100 000
		Long term loan	200 000

Brush Ltd offers to buy the business at a price of \$110 000. The purchase price is satisfied by the issue of 5% debentures of \$300 000 plus 600 000 ordinary shares of \$1 each fully paid.

How much will Brush Ltd credit to its share premium account?

- A \$200 000
 B \$400 000
 C \$500 000
 D \$800 000

300 000
 600 000

31 What will cause under-absorption of fixed production overhead?

- A Actual activity is above budget.
- B Actual activity is below budget and actual expenditure is as budgeted.
- C Actual expenditure of overheads is below budgeted expenditure.
- D Actual overhead is below budget.

32 A company has forecast the turnover (sales) for the first three months of the following year

month	units
January	3 000
February	3 200
March	3 300

The opening inventory (stock) in January was 450 units. The company requires that the closing inventory at the end of each month be equal to 20% of the turnover for the following month.

How many units should be produced in February?

- A 3 190
- B 3 220
- C 3 840
- D 3 860

33 Budgeted and actual sales of a product are given.

	Budget	Actual
Sales in units	4 000	3 600
Selling price per unit	\$20	\$21
Sales revenue	\$80 000	\$75 600

What is the sales price variance?

- A \$3 600 adverse
- B \$3 600 favourable
- C \$4 000 favourable
- D \$4 400 adverse

34 The actual cost of materials for production amounts to \$43 700. The material price variance is \$3 800 favourable and the material usage variance is \$1 600 adverse.

What is the standard cost of materials?

- A \$39 900
- B \$41 500
- C \$45 300
- D \$45 900

- 35 The following information relates to the manufacture of a single product.

	\$
selling price per unit	60
variable cost per unit	40

How many units must the company sell to make a net profit of \$60 000 if the budgeted fixed costs are \$240 000?

- A \$ 4 000
- B \$ 8 000
- C \$12 000
- D \$15 000

- 36 The data given is for the manufacture and sale of 400 units of a product.

	\$
turnover (sales)	16 000
direct material	6 000
direct labour	2 000
fixed overheads	6 720

40
5
5

How much profit will be made if the company increases the number of units to 500?

- A \$1 280
- B \$1 600
- C \$3 280
- D \$3 780

- 37 Which method of capital investment appraisal is based on profits?

- A accounting rate of return
- B internal rate of return
- C net present value
- D payback

- 38 A company invests in a project which costs \$400 000. The project will yield net profits of \$160 000 per annum for the next four years after charging annual depreciation of \$20 000.

What is the payback period for the project?

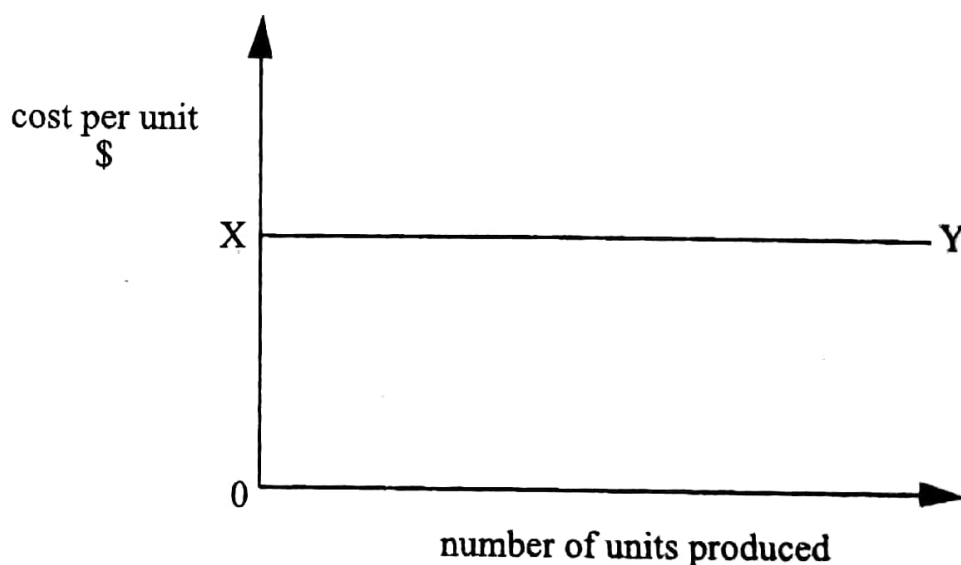
- A 2,22 years
- B 2,38 years
- C 2,5 years
- D 2,96 years

- 39 The table shows the end of year results of a company's three products.

Product	X	Y	Z
	\$	\$	\$
sales	300 000	340 000	420 000
variable costs	230 000	240 000	200 000
head office fixed costs apportioned	90 000	100 000	140 000
net profit (loss)	(20 000)	-	80 000

What should the company do on the basis of these results?

- A continue producing all products
 - B continue producing product Z only
 - C discontinue product X
 - D discontinue product X and Y
- 40 What does the line XY show?



- A Fixed costs per unit increase as production increases.
- B Total costs remain constant as production increases.
- C Total fixed costs remain constant as production increases in the long term.
- D Variable costs per unit remain constant as production increases.